NPFID –
Tax Expenditures (TE)

By: Kyle McNabb Ph.D.

Thiptaiya Sydavong Ph.D.

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Project Overview

In May 2023, the Government and UNDP launched NPFID Project

Enhance efficiency and internal capacity on national planning and financing policy

Assist MOF developing a TE tracking database to strengthen tax revenue collection

Early 2024: MOF completed testing of an Excel-based Prototype with 200 samples.

Phase I

Next step, expand the database covering all centrally-administered CA projects + provincial-administered CA projects (9 target provinces)

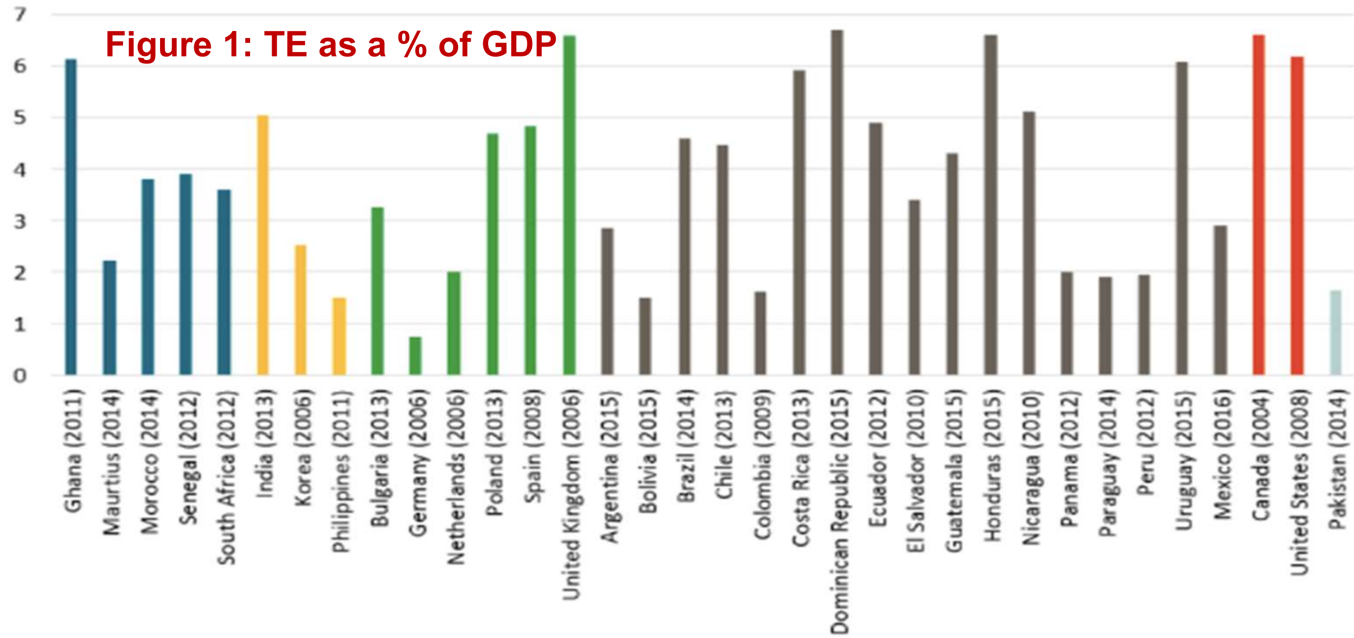
Phase II

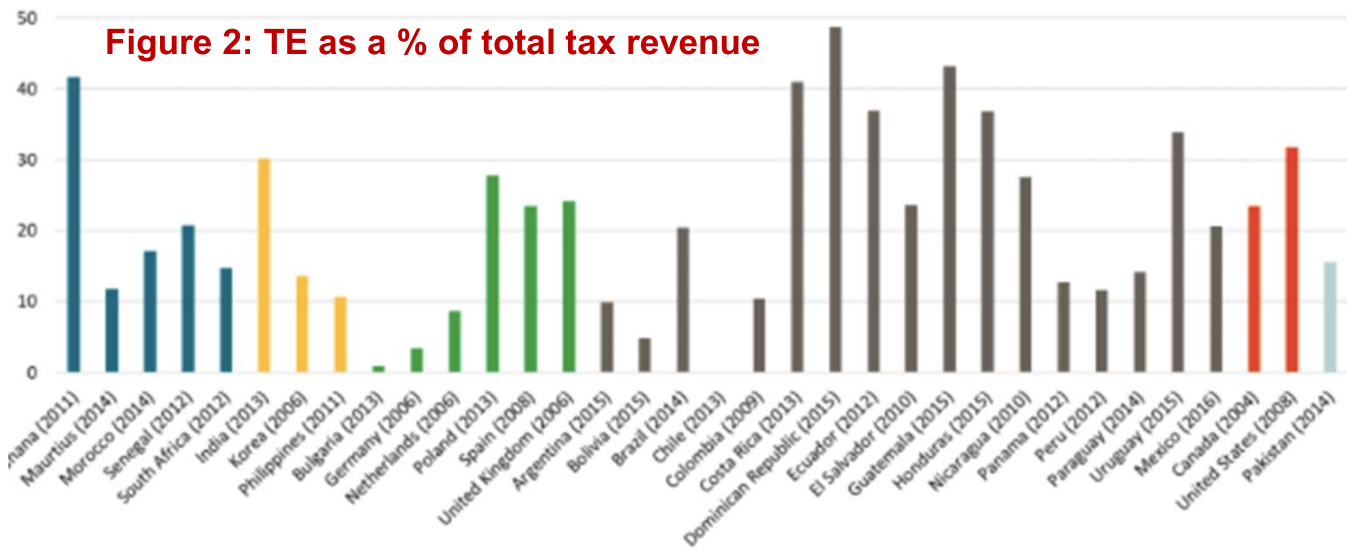
1st TE analysis report

Final output

Tax Expenditures

- **TE: Other countries**
  - Note: these TE estimates are not directly comparable because countries use different methodologies;
  - 1/3 of the sample countries, TE are 5% of GDP or more;
  - 4 countries—Ghana, Costa Rica, Dominican Republic, and Guatemala—where they top 40% of collected revenues.

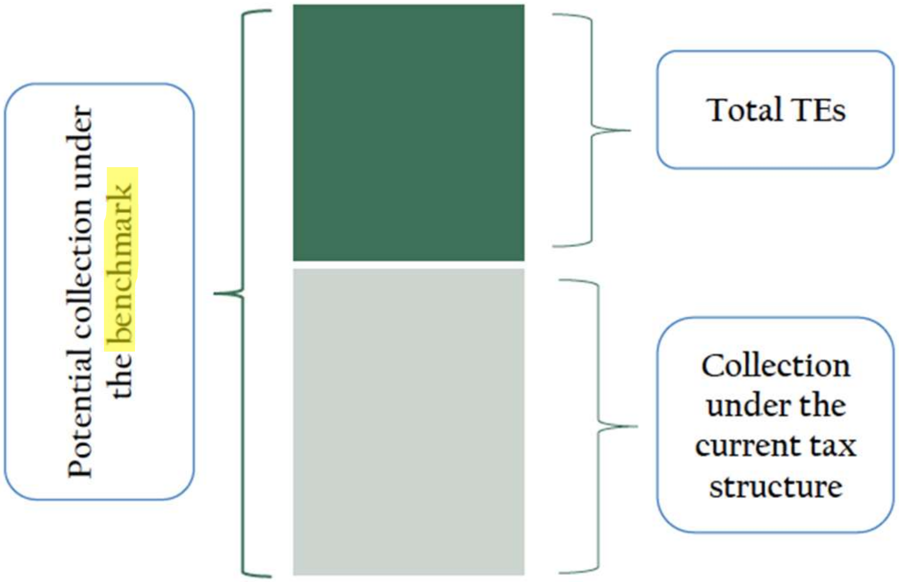




Source: Gupta, Sanjeev. "Time to Pay More Attention to Tax Expenditures?" *Center for Global Development*, August 1, 2018. https://www.cgdev.org/blog/time-pay-more-attention-tax-expenditures.

- **TE: Definition for the Lao context**

"Tax expenditures refer to the revenue losses resulting from special tax provisions that provide exemptions, deductions, credits, preferential rates, or deferrals of tax liabilities. These provisions reduce the tax burden for certain individuals, organizations, or economic activities and are used by governments as tools to promote social, economic, or environmental policies without direct spending.."



Note: TE focus on revenue losses due to deliberate policy decisions (like tax breaks) and not losses due to operational failures like inefficiency, corruption, or non-compliance.

- **TE : Forms**
  - **Allowances**: *A deduction from the taxable income (pre-tax calculation);*
  - **Credits**: *A direct reduction of the tax liability (post-tax calculation);*
  - **Exemptions**;
  - **Rate relief**: *A reduced rate of tax applied to a class of taxpayer or taxable transactions;*
  - **Tax deferral**: *A delay in paying tax;*
  - **Free zone**: *A designated area where businesses are subject to special tax regulations to encourage investment and economic activity in certain geographic regions.*

- **TE: Methodologies**

Broadly, 2 methods can be used to define the Benchmark Tax System (BTS).

(i) The **'legal' method** involves identifying deviations (preferential treatment) from the 'general' tax regime, where the general regime is defined by the **tax laws.**

(ii) The **'normative' method** considers that the 'normal' or 'general' tax regime should be defined in terms of **optimal/ideal taxation***. Thus any deviations from what might be considered optimal tax treatment for **a particular activity** would represent TE.

The scope of TE considered herein is confined to those identifiable within the laws of Lao PDR, i.e., statutory TE. Any tax relief granted to individuals, firms or activities on a discretionary basis are not considered**.

* Usually one designed according to economic principles such as efficiency, equity, or minimal distortion.

** The BTS and repository reflect the tax system of Lao PDR as of April 2024. However, if one wishes to calculate revenue foregone from tax expenditures for prior years, then the laws in place during those years should be reflected in the benchmark and repository. Similarly, any future changes to the relevant tax legislation will necessitate an update to the benchmark and repository.

- **TE: Estimation**

  (i) Profit Tax

  (ii) Personal Income Tax

  (iii) VAT – *import VAT, domestic VAT*

  (iv) Customs Duty

  (v) Excise Duty

  (vi) Non-Tax Fee – *royalty fee, rental of state land*

BTS: Concept

- ❑ Consider 4 components of each tax,
  - Tax Unit (a person, or a company (legal entity))
  - Tax Base (taxable income, or the value of a good purchased)
  - Tax Rate
  - Tax Period (e.g. monthly, annually)
- ❑ Any provision (Article) within the law (statutory) that **alters** the unit, base, rate, period for a group of taxpayers may be a TE *.
  - E.g. an exemption, a reduced rate etc.
- ❑ TE can also arise from preferential treatment negotiated outside the law. (discretionary)

* Some of these deviations do not represent TE and are considered a part of the benchmark system for various reasons such as certain international agreements incorporate provisions that extend import duty exemptions to various items. Duty exemptions enshrined in each of the Kyoto Convention, Vienna Conventions, Chicago Convention and Florence Agreement are considered as part of the benchmark tax system and do not, thus, constitute TE.